

patterns that bust more than twice (triple+). Usually they are triple busts, but there must be a few four or five busts hidden in there. Double busts are rare.

Busted and non-busted performance. I compared the performance of a complex head-and-shoulders *bottom* as a proxy for a non-busted complex *top*. Single busted complex tops perform better than the other two categories (“all busted patterns” and “non-busted” ones).

However, you have to trade a single busted pattern, and even though they happen 63% of the time, that suggests you may be wrong almost a third of the time (meaning it'll double or triple+ bust).

Trading Tactics

[Table 42.10](#) presents the trading tactics for complex head-and-shoulders tops.

Measure rule. Use the measure rule to help predict the expected decline. Look at [Figure 42.6](#) as an example of how to use the measure rule.

Compute the formation height by subtracting the difference between the highest high (31.63, head) from the value of the neckline directly below the highest high (27). Subtract the result (4.63) from the breakout price (25.75). Price drops below the target of 21.12 in early March.

The bottom portion of the table shows how often the measure rule works for various heights. In the above example, I used the pattern's full height. Price will reach the target between 46% and 47% of the time on average.

To improve the success rate of the measure rule, cut the height in half and use it in the measure rule. Using half the height works 72% of the time, but if price reaches the target and you cover a short there, profit will be less than if price dropped to a full height target.